

MARKET RESEARCH | CANADIAN MID-MARKET PRIVATE EQUITY

Where AI Is Creating Measurable Economic Value

B2B Services · Manufacturing · Industrial Services · Distribution

... and what a private-equity investor should do differently

September 2026 | Evidence base: Statistics Canada · U.S. Census Bureau · NBER · OECD · QJE · McKinsey · Bain · SEC/SEDAR+ filings

THE BRIEF

One question, answered through one analytical chain



The test applied to every claim in this project: *“Why does this matter to an investor?”*

- Findings are labelled Observed, Reported, Calculated or Forecast.
- Vendor case studies are identified as such and never treated as independent evidence of ROI.
- Where reliable evidence does not exist, the report says so instead of substituting a plausible number.

THE HEADLINE

Three numbers that frame the whole thesis

19.2%

of Canadian businesses used AI
in the year to Q2 2026

Tripled from 6.1% in Q2 2024

19.8%

of U.S. businesses, 3 May 2026
— Canada and the U.S. are tied

The lag is depth, not incidence

37%

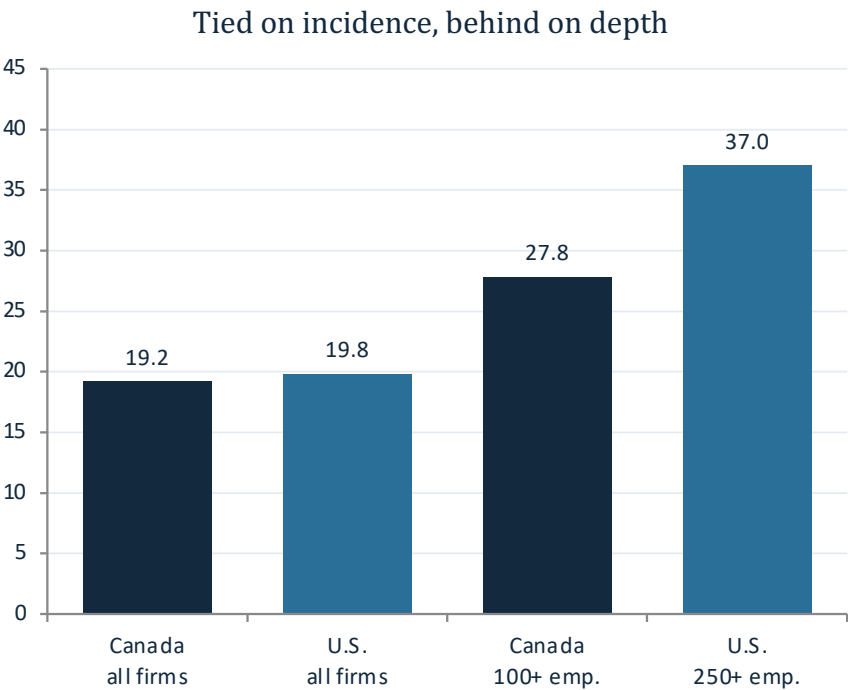
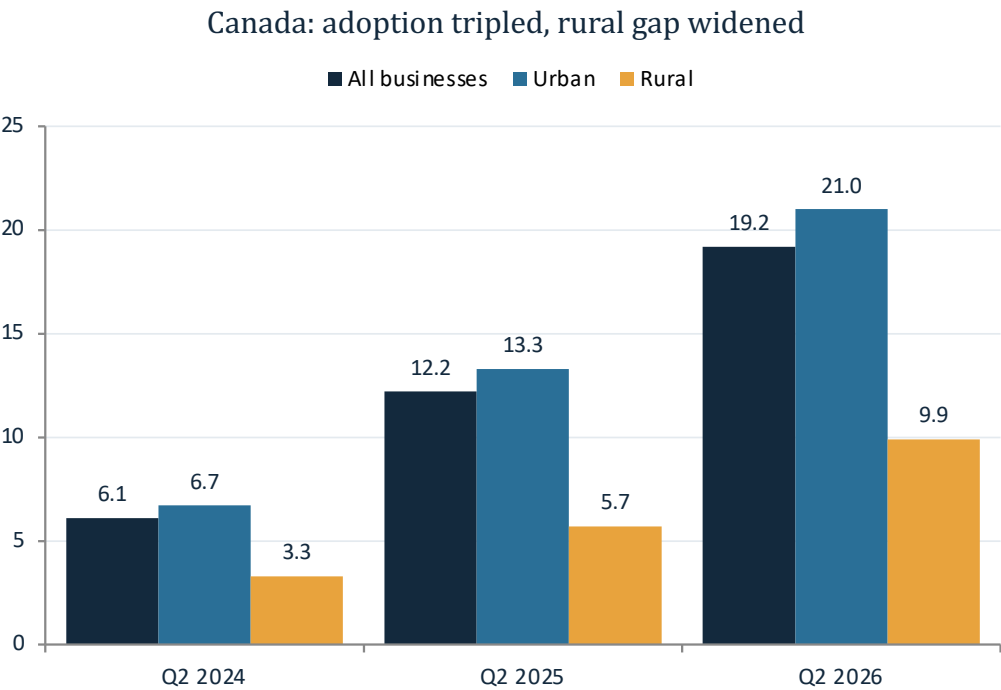
of organisations report ANY
positive EBIT impact from AI

Flat year-on-year. 6% report ≥5%

So what?

A Canadian mid-market industrial business is not operating in a market structurally behind its U.S. peer group on AI. It is operating in one where almost nobody has converted adoption into earnings — which is precisely where an operator-investor can create the gap.

Adoption tripled in two years — but the depth gap is real



Statistics Canada CSBC Q2 2024 / 2025 / 2026 · U.S. Census Bureau BTOS, 14 Dec 2025–3 May 2026. Note the size thresholds differ (100+ vs 250+ employees), which understates the large-firm gap.

Wide, shallow — and almost none of it industrial

AI applications used, by age of business (% of Canadian AI adopters, Q2 2026)

	≤2 yrs	3-10 yrs	11-20 yrs	>20 yrs
Data analytics	45.5	33.7	27.0	46.4
Text analytics	41.2	32.5	26.2	42.5
Virtual agents / chatbots	17.9	29.4	25.0	31.4
Natural language processing	20.0	23.4	36.4	25.3
Large language models	21.1	25.8	24.0	25.0
Speech / voice recognition	18.7	19.3	29.0	15.8
Marketing automation	52.0	22.2	14.5	14.9
Machine learning	34.0	14.8	19.0	18.9
Recommendation systems	25.5	17.0	12.9	21.7
Image / pattern recognition	17.9	14.4	11.3	14.9
Decision-making systems	10.0	15.1	15.7	11.2
Deep learning	13.3	14.7	13.1	10.9
Robotic process automation	0.0	4.2	4.2	7.6
Machine / computer vision	0.1	6.4	2.3	5.2

Industrial
AI

CALCULATED

~0.9% of all Canadian businesses use computer vision; ~1.0% use robotic process automation.

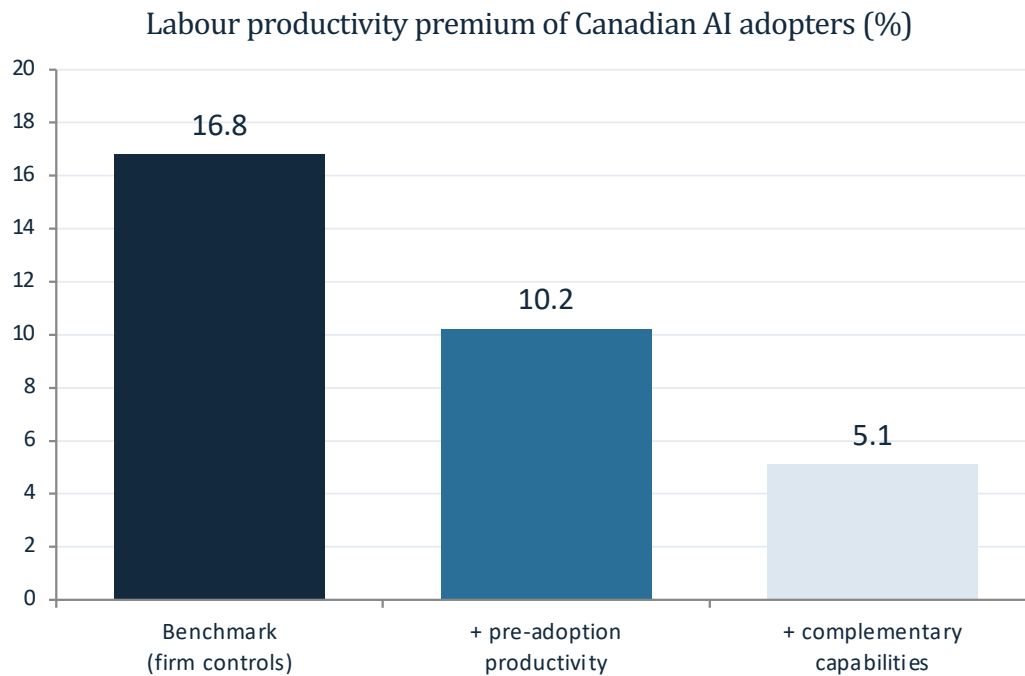
57%

of U.S. adopters use AI in three or fewer business functions — mostly sales, strategy and IT, not production.

Firms >20 years old adopt at 15.0% vs 25.0% for firms aged 3–10. The typical Canadian mid-market industrial target sits in the lowest-adopting cohort by age.

Source: Statistics Canada, Canadian Survey on Business Conditions, Q2 2026 (Table 33-10-1167-01). Base = the 19.2% of businesses using AI. Read: adoption is concentrated in language and analytics work. The applications that change industrial operating economics sit below the line.

The premium is not AI — it is the capability stack beneath it



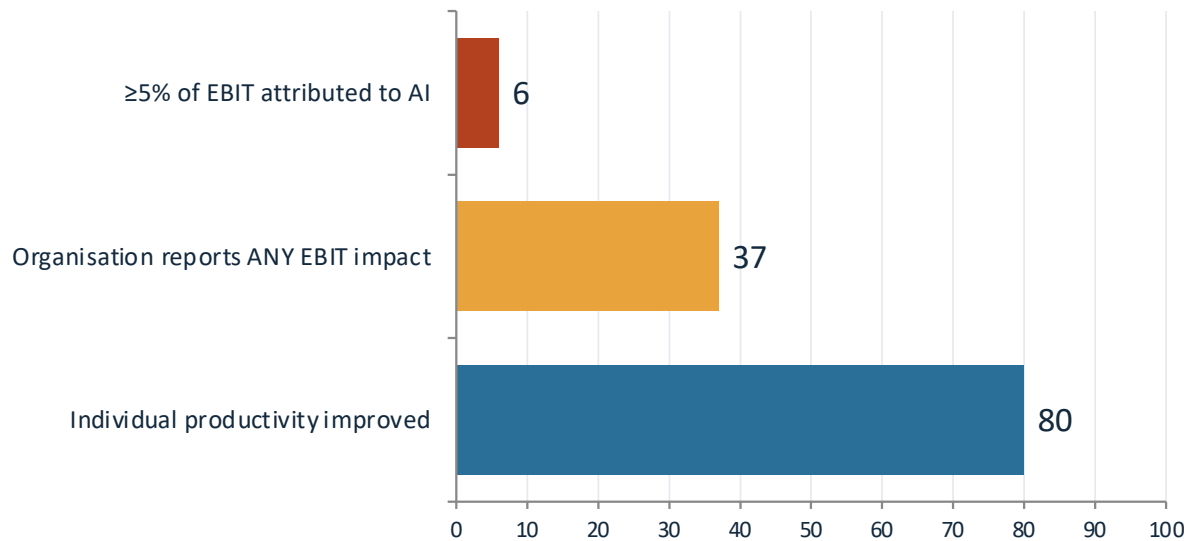
What the three bars mean

- **16.8%** raw premium of adopters over non-adopters ($p < 0.01$)
- 10.2%** after controlling for productivity before adoption — better firms adopt ($p < 0.01$)
- 5.1%** after adding R&D, cloud, data analytics, robotics and ICT training — and no longer statistically significant

The investment implication

Do not pay a premium for “AI adoption.” Pay for — or build — the complements. They are the asset; AI is the interface.

Task-level gains are real. They are not reaching the P&L.



DEMONSTRATED

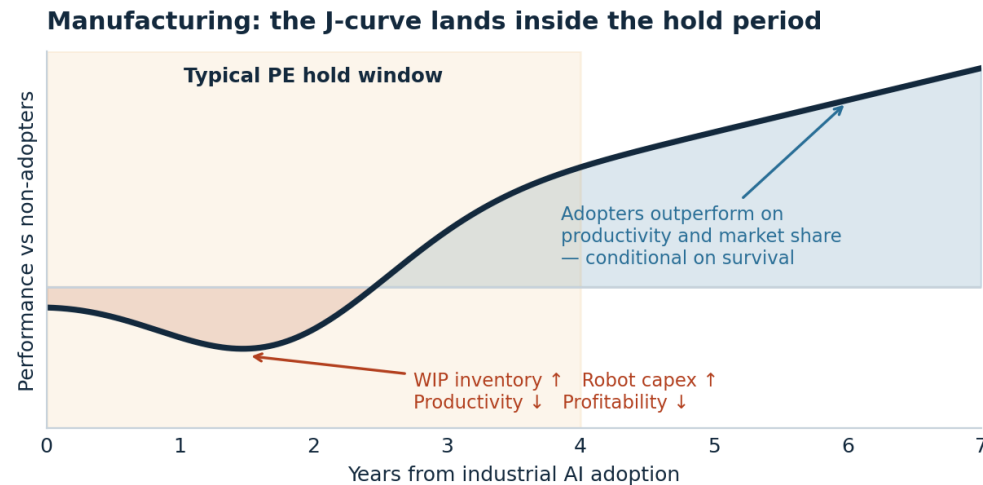
~15% more issues resolved per hour across 5,172 support agents — novices +34%, top performers ~0. Peer-reviewed, QJE 2025.

NOT DEMONSTRATED

9 in 10 executives in a ~6,000-firm NBER survey across four countries report no productivity or employment effect over three years.

Benchmark for sizing any cost claim: Sysco targets ≥\$500m of AI cost-out by FY2029 on \$84.6bn of sales — about 0.6% of revenue, over three years.

The J-curve lands inside the PE hold period



Schematic illustration of the pattern documented in McElheran, Yang, Kroff & Brynjolfsson, 'The Rise of Industrial AI in America', U.S. Census Bureau / AEA 2026, using Census manufacturing data for 2017 and 2021. The curve is drawn to convey shape and timing only — it is not a reproduction of their estimates, and the authors publish no year-by-year magnitudes. Losses concentrate among older establishments; young firms fare better.

What the data shows

U.S. Census manufacturing data (2017 and 2021): industrial AI raises WIP inventory and robot capex and depresses productivity and profitability in the short run, before adopters outperform.

Who it hurts

Losses concentrate among OLDER establishments. Roughly one-third of the loss in older plants traces to abandoning structured production-management practice.

Three postures

Buy the dip at a discount · buy past the dip at a premium · or fund the dip and align exit timing. The failure mode is doing it by accident in year three.

McElheran, Yang, Kroff & Brynjolfsson, 'The Rise of Industrial AI in America: Microfoundations of the Productivity J-curve(s)', U.S. Census Bureau / AEA 2026. Curve is schematic — it conveys shape and timing, not published magnitudes.

Where the economics actually work

Sector attractiveness map — every row oriented so HIGH = more attractive to an investor

	B2B Services	Manufacturing	Industrial Services	Distribution
Current AI adoption depth	HIGH	MOD	LOW	LOW
Independent evidence quality	HIGH	MOD	LOW	LOW
Near-term EBITDA impact (0–24 mo)	MOD	LOW	MOD	HIGH
Revenue-model opportunity	MOD	LOW	HIGH	LOW
Ease of implementation	HIGH	LOW	MOD	MOD
Working-capital opportunity	LOW	LOW	LOW	HIGH
Moat / differentiation potential	LOW	HIGH	HIGH	MOD
Business-model durability	LOW	HIGH	HIGH	MOD
PE value-creation relevance	MOD	MOD	HIGH	HIGH

Methodology: three-level qualitative assessment (Low / Moderate / High) derived from the evidence cited in this report — not a numerical score, index or ranking. Two dimensions are stated in positive polarity so all rows read the same way: 'Ease of implementation' inverts implementation difficulty; 'Business-model durability' inverts disruption risk. No column totals are computed, because the rows are not commensurable and should not be summed.

Industrial Services

Best risk-adjusted. Utilisation, first-time fix and travel time are measurable inside the target — so vendor claims are testable in diligence.

Distribution

Fastest EBITDA conversion. Pricing flows through in-year — but treat the first-year uplift as a one-time stock, not a growing flow.

B2B Services

Highest disruption risk. Underwrite the exit multiple conservatively, independent of EBITDA growth.

Three-level qualitative assessment derived from the cited evidence — not a numerical score, index or ranking. Two rows are stated in positive polarity so every row reads the same way. No column totals: the rows are not commensurable.

Four disclosures that do the analytical work

Accenture B2B Services	FY2025: advanced AI revenue tripled to \$2.7bn on \$69.7bn; GenAI bookings \$5.9bn.	GAAP operating margin FELL 10bps to 14.7%. The best-positioned AI services firm in the world grew AI revenue 3x and did not expand margin.	DEF 14A FY2026
Teleperformance & Concentrix B2B Services	Concentrix cut FY26 revenue guidance ~1%; shares fell >21% premarket. TP short interest 3.8% → >12%.	The multiple moved years before the P&L did. Terminal value is the first-order AI risk in services.	Company guidance; Bloomberg via trade press
Precision Drilling Industrial Services	Alpha automation platform; AlphaArms robotics automating >95% of rig-floor activity on its first Super Triple rig.	Real, commercialised, differentiated — and the financial contribution is NOT separately disclosed. That gap is the sector's signature.	6-K, Mar 2026 (Calgary, AB)
Sysco / Grainger Distribution	Sysco: ≥\$500m AI cost-out by FY2029. Grainger Q2 2026: +120bps operating margin.	Sysco's number is a target with zero realised. Grainger attributed its margin to mix, freight, price, UK exit and tariff refunds — not to AI.	8-K 9 Sep 2026; Q2 2026 results

EXCLUDED: the widely circulated Magna International “287% ROI / 35% maintenance cost reduction” figure — the most-cited Canadian manufacturing AI statistic, for which no primary disclosure could be located.

Hype vs. economic reality: the questions that discriminate

Management claim	The question to ask	What a good answer contains
<i>“AI will cut costs 20%”</i>	Against what baseline, net of licence, integration and change-management cost?	Sysco's benchmark: ~0.6% of sales over three years.
<i>“AI creates a moat”</i>	What input can a competitor not buy — and do your OEM and customer contracts confirm you own it?	Proprietary, labelled, longitudinal data. Software is purchasable; data is not.
<i>“We are AI-enabled”</i>	In how many business functions is AI in daily production use, not pilot?	57% of adopters use AI in ≤3 functions; 16% of distributors are multi-function.
<i>“AI improved our margin”</i>	How did you separate AI from price, mix, freight, tariffs and operating leverage?	A full margin bridge. Grainger decomposes it; most mid-market targets cannot.
<i>“This lets us cut headcount”</i>	Has anyone actually done it?	2% of U.S. firms report AI-related employment decreases; 89.4% of Canadian adopters, no change.

What an investor should actually do differently

1 Sourcing

- Multi-branch field-service platforms with sub-70% technician utilisation
- Distributors with clean-enough data and undisciplined pricing
- Manufacturers already PAST the J-curve

2 Diligence

- Count duplicates in the item and customer master
- Who owns AI — and do they control the budget?
- Who owns the asset telemetry: you, the OEM, or the customer?

3 Value creation

- Rebate and contract extraction first — shortest payback
- Then pricing governance, then routing and dispatch
- Master data has no direct return and everything depends on it

4 Exit

- Do not assume AI raises the multiple
- It can LOWER it where a business reads as AI-exposed
- Underwrite the operational improvement, not the AI narrative

The honest signal from the industry itself: GPs report their highest generative-AI returns in deal sourcing and due diligence — their own workflow — while nearly 40% expect no material financial impact in portfolio companies in 2026.

Bain & Company and StepStone Group, 2026 Private Equity GP Outlook · Bain & Company, Global Private Equity Report 2026

CONCLUSIONS

What I would tell an investment committee

- 1 AI is a task-level productivity technology with an unproven firm-level financial effect. Underwrite accordingly.
- 2 The return is to the complementary capability stack, not to AI. That changes what you pay for and what you build.
- 3 In manufacturing, the J-curve lands inside the hold period — model it, or buy a business that is past it.
- 4 Distribution converts fastest to EBITDA; industrial services is the best risk-adjusted operational thesis.
- 5 The first-order risk in services is terminal value, not margin. The comps re-rated before revenue moved.

What I would monitor over the next 2–5 years

- Whether McKinsey's 37% EBIT figure finally moves — it has been flat two years running
- Whether Sysco realises its \$500m, and whether CX/BPO revenue actually declines or only the multiple did
- Whether computer vision and RPA break out of ~1% of Canadian businesses — the leading indicator for manufacturing
- Statistics Canada ends the CSBC in Aug 2026; TechStat starts 2027. Plan for a gap in the Canadian data.